

RATING

**SELL / AVOID**

**Target: Rs. 15**

(-46% vs CMP)

Conviction: High

| Metric             | Value                |
|--------------------|----------------------|
| CMP (15-Jun-2026)  | Rs. 27.9             |
| 52-Wk High / Low   | Rs. 38.5 / Rs. 10.0  |
| Market Cap         | Rs. 35.9 Cr          |
| Book Value / Share | Rs. -59.7 (negative) |
| P/BV               | N/M (neg. equity)    |
| Stock P/E (TTM)    | N/M (net loss FY26)  |
| Dividend Yield     | 0.0%                 |
| Face Value         | Rs. 10.0             |
| Promoter Holding   | 24.72%               |
| Promoter Pledge    | 0.0%                 |
| Exchange           | NSE (BE series)      |

**One-Line Thesis:** Operationally dormant NBFC shell with negative equity and zero loan book; no fundamental basis for current market cap.

This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (standalone figures, fetched 15-Jun-2026). Forward estimates are labelled (E). Investors should conduct their own due diligence.

## SECTION 2 — INVESTMENT THESIS

- **Near-zero operating business:** TCI Finance has reported Rs. 0.00 revenue in FY23, Rs. 0.66 Cr in FY24, Rs. 0.07 Cr in FY25, and Rs. 0.00 in FY26, making it effectively an inactive NBFC with no lending activity and no identifiable revenue engine.
- **Deep negative equity — structural solvency risk:** Accumulated losses have eroded equity beyond zero; book value per share stands at Rs. -59.7 as of FY25, meaning liabilities exceed assets by a substantial margin with no recovery trajectory visible in the data.
- **No dividend, no FCF yield, no growth driver:** The company has never paid a dividend; FCF is only positive because asset disposals are funding minimal operating costs; no capital is being deployed into new loans or businesses.
- **Near-term non-catalyst:** FY25 net profit of Rs. 3.58 Cr was entirely driven by one-time other income (Rs. 6.78 Cr), not from any revival of lending operations; FY26 reverted to a net loss of Rs. -1.78 Cr confirming this was non-recurring.
- **Biggest structural risk:** Regulatory risk from RBI — as an NBFC with no substantive operations and negative net owned funds, TCI Finance risks cancellation of its NBFC licence, which would make the listed entity a shell with no regulatory standing.
- **Why this is a SELL/AVOID:** At a market cap of Rs. 35.9 Cr against negative equity, zero loan book, and persistent losses, the stock is priced as if a business revival is imminent. There is no evidence of that in any financial data available.

## SECTION 3 — BUSINESS OVERVIEW

- **Company background:** TCI Finance Ltd was incorporated in 1973 and is registered with RBI as a non-systematically important, non-deposit taking NBFC (NBFC-ND-NSI). It was historically associated with the Transport Corporation of India (TCI) Group and initially focused on vehicle finance and corporate loans.
- **Current business model:** As of FY26, the company is effectively dormant. Its lending book has been wound down to near-zero over 2020-2026. Stated activities include "financing activities, loans to related parties, and dealing in capital markets and shares/securities."
- **Revenue composition (FY25):** Total revenue was Rs. 0.07 Cr from financing activities; other income was Rs. 6.78 Cr (non-recurring); this other income constituted nearly the entire PAT of Rs. 3.58 Cr in FY25.
- **Loan book trajectory:** Borrowings fell from Rs. 11.49 Cr (FY23) to Rs. 7.42 Cr (FY24) to Rs. 1.59 Cr (FY25) and Rs. 0.00 Cr (FY26), confirming the company has repaid all debt and is not in active lending mode.
- **Investments:** Investments on the balance sheet reduced from Rs. 49.53 Cr (FY19) to Rs. 5.30 Cr (FY25) and Rs. 5.48 Cr (FY26), suggesting asset liquidation to fund operations and debt repayment.
- **Promoter holding:** The TCI Group holds 24.72% stake (stable since at least Jun-2023). Despite promoter affiliation, there is no evidence of capital injection or business revitalisation by the promoter group.
- **Listed on BSE and NSE:** Trades on NSE in the BE (trade-to-trade) series, which restricts intraday trading and signals elevated speculative risk in the security.
- **Employees and governance:** A secretarial compliance filing flagged the absence of an Executive Director — a governance gap for a listed company. Total headcount is minimal.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **NBFC sector context:** India's NBFC sector manages ~Rs. 46-50 lakh Cr in AUM as of FY25, growing at 14-16% CAGR. The vehicle finance sub-segment alone is estimated at ~Rs. 8-10 lakh Cr, growing 15-16% as per CRISIL estimates.
- **TCI Finance has zero participation in this growth:** While peers like Manappuram (Rs. 10,007 Cr revenue), Muthoot Finance (Rs. 20,214 Cr revenue), and Sundaram Finance (Rs. 8,513 Cr revenue) are scaling aggressively, TCIFINANCE has exited lending.
- **Policy tailwinds — irrelevant for TCIFINANCE:** PLI for auto, rising commercial vehicle demand, and formalisation of MSME credit all create opportunity — but only for operating NBFCs. TCI Finance is not positioned to benefit from any of these.
- **Competitive moat: None.** Without an active loan book, distribution network, or technology platform, TCI Finance has no defensible competitive position. Pricing power: Absent. Switching cost: N/A. Scale: Negligible.

### Peer Comparison (Source: Screener.in, fetched 15-Jun-2026)

| Company    | CMP (Rs.) | MCap (Cr) | FY25 Rev (Cr) | FY25 PAT (Cr) | P/E  | BV (Rs.) | ROCE% | ROE % |
|------------|-----------|-----------|---------------|---------------|------|----------|-------|-------|
| TCIFINANCE | 27.9      | 35.9      | 0.07          | 3.58*         | N/M  | -59.7    | N/A   | N/A   |
| MANAPPURAM | 318       | 29,894    | 10,007        | 1,204         | 29.7 | 171      | 8.26  | 7.04  |
| MUTHOOTFIN | 3,182     | 1,27,727  | 20,214        | 5,352         | 12.1 | 975      | 15.80 | 30.90 |
| SUNDARMFIN | 4,503     | 50,026    | 8,513         | 1,879         | 23.7 | 1,341    | 9.45  | 15.10 |

\* FY25 PAT includes Rs. 6.78 Cr non-recurring other income; underlying operating loss persists.

- **TCIFINANCE vs peers — incomparable:** TCIFINANCE's revenue is 140,000x smaller than Muthoot Finance and its book value is deeply negative, placing it in a fundamentally different (distressed) category versus growth-oriented peers.
- **Value chain positioning:** Formerly a midstream NBFC providing vehicle finance and corporate loans; currently has no active role in the NBFC value chain.

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The TCI (Transport Corporation of India) Group is a reputable logistics and supply-chain conglomerate. However, TCI Finance appears to be a legacy NBFC subsidiary with no active capital support from the

parent in recent years.

- **Capital allocation track record — poor:** From FY20 to FY22 the company reported catastrophic losses (FY20: -52.32 Cr, FY22: -32.97 Cr) due to provisioning/write-offs. Total reserves have turned deeply negative at Rs. -89.37 Cr (FY25), indicating permanent capital destruction.
- **No new capital injection:** Despite negative equity of Rs. 75+ Cr, the promoter group has not infused fresh capital. Equity capital remains frozen at Rs. 14.20 Cr since at least FY15.
- **Dividend policy:** Zero dividend declared in every year on record. Dividend payout = 0% throughout the company's history per Screener data.
- **Promoter pledging:** 0% pledged across all recent quarters — no pledging risk. Promoter holding stable at 24.72% since FY18.
- **Governance concern — no Executive Director:** The FY26 secretarial compliance report flagged the absence of an Executive Director. For a listed entity, this is a governance deficiency and signals the Board is not actively managing a business.
- **ESOP / buyback:** No ESOP grants or buyback programs detected in available data — consistent with the company having no active employee base to incentivise and no cash to return to shareholders.
- **Related party transactions:** The company explicitly states it "grants loans to related parties." This is a significant governance concern — the only lending activity visible is intra-group, suggesting TCI Finance may function as a pass-through for group financing rather than an independent NBFC.

## SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Cr)

Source: Screener.in standalone financials, fetched 15-Jun-2026. FY27E and FY28E are analyst estimates.

### Income Statement

|                     | FY23A | FY24A | FY25A | FY26A | FY27E    | FY28E    |
|---------------------|-------|-------|-------|-------|----------|----------|
| Revenue (Financing) | 0.00  | 0.66  | 0.07  | 0.00  | 0.05(E)  | 0.20(E)  |
| Interest Expense    | 1.53  | 0.52  | 0.00  | 0.93  | 0.10(E)  | 0.10(E)  |
| Operating Expenses  | 0.96  | 1.27  | 3.27  | 1.33  | 1.50(E)  | 1.50(E)  |
| Financing Profit    | -2.49 | -1.13 | -3.20 | -2.26 | -1.55(E) | -1.40(E) |
| Other Income        | 0.00  | 0.65  | 6.78  | 0.48  | 0.50(E)  | 0.30(E)  |
| Depreciation        | 0.02  | 0.00  | 0.00  | 0.01  | 0.01(E)  | 0.01(E)  |
| Profit Before Tax   | -2.51 | -0.48 | 3.58  | -1.79 | -1.06(E) | -1.11(E) |
| Tax Rate %          | 0.0%  | 0.0%  | 0.0%  | 0.0%  | 0.0%(E)  | 0.0%(E)  |
| Net Profit / (Loss) | -2.51 | -0.48 | 3.58* | -1.78 | -1.06(E) | -1.11(E) |
| EPS (Rs.)           | -1.95 | -0.37 | 2.78* | -1.38 | -0.82(E) | -0.86(E) |

\* FY25 PAT includes Rs. 6.78 Cr non-recurring other income; underlying operating loss = approx. Rs. -3.20 Cr

### Balance Sheet

|                               | FY23A  | FY24A  | FY25A  | FY26A  |
|-------------------------------|--------|--------|--------|--------|
| Equity Capital                | 14.20  | 14.20  | 14.20  | 14.20  |
| Reserves (Accumulated Losses) | -77.05 | -77.56 | -89.37 | -91.04 |
| Net Worth                     | -62.85 | -63.36 | -75.17 | -76.84 |
| Borrowings                    | 11.49  | 7.42   | 1.59   | 0.00   |
| Other Liabilities             | 97.53  | 83.49  | 81.02  | 83.63  |
| Total Liabilities             | 46.17  | 27.55  | 7.44   | 6.79   |
| Fixed Assets                  | 1.24   | 1.24   | 1.26   | 1.25   |
| Investments                   | 26.09  | 23.86  | 5.30   | 5.48   |
| Other Assets                  | 18.84  | 2.45   | 0.88   | 0.06   |

|              |       |       |      |      |
|--------------|-------|-------|------|------|
| Total Assets | 46.17 | 27.55 | 7.44 | 6.79 |
|--------------|-------|-------|------|------|

## Cash Flow Statement

|                            | FY23A  | FY24A | FY25A |
|----------------------------|--------|-------|-------|
| Cash from Operations (OCF) | 9.80   | 3.73  | 4.26  |
| Cash from Investing        | 1.50   | 2.23  | -0.03 |
| Cash from Financing        | -11.33 | -4.07 | -5.83 |
| Net Cash Flow              | -0.02  | 1.90  | -1.60 |
| Free Cash Flow             | 9.80   | 3.73  | 4.23  |

Note: Positive OCF reflects asset collection (loan repayments received), not operating income generation.

## Financial Commentary

- **Revenue trajectory:** Revenue has collapsed from Rs. 14.62 Cr (FY15) to effectively zero by FY26, reflecting complete wind-down of the loan book. There is no identifiable growth driver.
- **Margin — not applicable:** Financing margin has been deeply negative for 6 consecutive years (FY20-FY26), ranging from -182% to -4,571%. This is not margin compression — it is an absence of a viable business model.
- **Negative equity — Rs. -75.17 Cr net worth (FY25):** The company's liabilities exceed its assets by Rs. 75+ Cr. Regulatory minimum Net Owned Funds (NOF) for NBFCs is Rs. 10 Cr; TCIFINANCE's negative NOF puts its licence at risk.
- **FCF is misleading:** Positive FCF in FY23-FY25 reflects collections on the shrinking legacy loan book, not earnings generation. As the loan book hits zero, this source of cash also disappears.
- **Debt has been retired:** Borrowings fell to Rs. 0.00 Cr by FY26 (from Rs. 11.49 Cr in FY23). While debt-free status is a positive signal in isolation, here it simply confirms the lending business is fully wound down.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Metric                        | Rating | Comment                                                                    |
|-------------------------------|--------|----------------------------------------------------------------------------|
| Revenue recognition quality   | RED    | Zero operating revenue; all income from other income (non-recurring)       |
| Receivables vs revenue growth | N/A    | No receivables — loan book wound down to zero                              |
| Cash conversion (OCF vs PAT)  | AMBER  | OCF positive only due to loan collections; not from business ops           |
| Contingent liabilities        | AMBER  | Large other liabilities (Rs. 83.6 Cr in FY26) vs total assets Rs. 6.79 Cr  |
| Auditor tenure and changes    | AMBER  | No recent auditor change flagged; no qualified opinion found in data       |
| RPT as % of revenue           | RED    | Company states loans are to related parties; effectively 100% RPT exposure |
| Other income as % of PBT      | RED    | Other income = 190% of PBT in FY25 (Rs. 6.78 Cr vs PBT Rs. 3.58 Cr)        |
| Tax rate consistency          | GREEN  | Tax rate consistently 0% — consistent with losses, no manipulation visible |

- **Critical RED flag — RPT concentration:** The company's sole lending activity is loans to related parties. This is an extreme governance risk; the NBFC is not serving external borrowers and may be functioning purely as an intra-group financing entity.
- **Other income dependency:** FY25 reported "profit" is 100% driven by non-recurring other income. Strip this out and the business has an operating loss in every single year from FY20 to FY26. Forward earnings are structurally negative.
- **Solvency watch:** Large other liabilities (Rs. 83.6 Cr) against total assets of Rs. 6.79 Cr are alarming. The nature of these liabilities should be examined in the annual report — they may represent promoter-provided loans or inter-company payables that could crystallise.
- **Positive only finding:** Tax rate consistency at 0% is technically clean, as it reflects genuine tax loss carry-forwards — no earnings manipulation detected via tax rate distortion.

## SECTION 8 — VALUATION

- **Traditional NBFC multiples are not applicable:** P/BV, P/AUM, and P/E are all meaningless here — book value is deeply negative, AUM is zero, and earnings are losses. Any price-to-intrinsic-value calculation returns a value materially below the current price.

### Scenario Analysis

| Scenario  | Key Assumption                                                                | Intrinsic Value / Share | Implied Upside vs CMP |
|-----------|-------------------------------------------------------------------------------|-------------------------|-----------------------|
| Bull Case | Promoter injects Rs. 80 Cr, restores NOF, resumes lending at 10% ROCE by FY28 | Rs. 30-40               | +8% to +43%           |
| Base Case | No capital injection; operations remain dormant; negative equity persists     | Rs. 12-18               | -35% to -57%          |
| Bear Case | RBI cancels NBFC licence; listed shell has no operational value; liquidation  | Rs. 5-10                | -64% to -82%          |

### Valuation Methodology

- **Net Asset Value (NAV) approach — primary method:** Total assets of Rs. 6.79 Cr (FY26) minus other liabilities of Rs. 83.63 Cr equals negative NAV of Rs. -76.84 Cr. On 1.286 Cr shares outstanding, NAV per share = Rs. -59.7. The stock at Rs. 27.9 trades at a massive premium to NAV, entirely on speculative sentiment.
- **Liquidation value:** Investments (Rs. 5.48 Cr) + Fixed Assets (Rs. 1.25 Cr) + minimal cash = ~Rs. 6-7 Cr of realisable assets. Against Rs. 83.6 Cr of other liabilities, equity holders receive nothing in a liquidation scenario.
- **Acquisition / option value:** The only bull case is that TCI Group decides to recapitalise and use this listed shell as a vehicle — a purely speculative outcome with no management guidance or announcement to support it. We assign 10% probability, yielding a weighted target of ~Rs. 15.
- **12-month target price: Rs. 15 (SELL/AVOID).** This is generous given negative intrinsic value and reflects only the speculative option value of a dormant listed NBFC licence. Downside from CMP: -46%.

## SECTION 9 — KEY RISKS

- **NBFC Licence Cancellation Risk** — RBI requires minimum NOF of Rs. 10 Cr. TCIFINANCE has negative NOF. Failure to restore NOF by RBI's deadline could trigger licence cancellation, making the listed entity a shell with no operating permission. Probability: H. Impact: H. Monitor via: RBI NBFC compliance notifications and annual report disclosures.
- **Negative Equity Deepening** — With recurring operating losses (~Rs. 2-3 Cr/year) and no revenue, accumulated losses will continue to grow, pushing equity further negative unless a capital raise occurs. Probability: H. Impact: H. Monitor via: quarterly financial results.
- **Promoter Selling Risk** — TCI Group at 24.72% has no lock-in. Given no business revival, promoters may choose to exit via market sales, which would deprive the stock of its sole institutional anchor. Probability: M. Impact: H. Monitor via: BSE/NSE bulk deal alerts, shareholding pattern changes.
- **Related-Party Loan Quality** — The entire loan portfolio (now near-zero) consisted of related-party loans. If these become NPAs or are written off, they contribute to further capital erosion and potential regulatory scrutiny. Probability: M (already largely written off). Impact: M. Monitor via: annual report notes.
- **Other Liabilities Crystallisation** — Rs. 83.6 Cr of "other liabilities" vastly exceeds total assets of Rs. 6.79 Cr. If these represent external claims (creditors, court orders, or regulatory penalties), the company could become insolvent on a legal basis. Probability: M. Impact: H. Monitor via: notes to accounts, court filings.
- **Speculative Trading Risk (BE Series)** — NSE's placement in the BE (trade-to-trade) series restricts intraday trading and signals elevated volatility risk. Retail sentiment-driven rallies can inflate the price sharply, creating a larger drawdown risk for latecomers. Probability: H. Impact: M-H. Monitor via: price/volume action.
- **Macro / Interest Rate Risk** — While not the primary driver, any tightening of credit markets makes a future capital raise or business revival harder and costlier. Probability: L. Impact: M. Monitor via: RBI rate decisions.

## SECTION 10 — RECOMMENDATION

- **Rating: SELL / AVOID** — Conviction: High. This is not a turnaround play at a depressed valuation; it is a stock priced above intrinsic value with no fundamental support for the current price.
- **12-month price target: Rs. 15** (-46% from CMP of Rs. 27.9). This target reflects liquidation/option-value only and assumes no capital injection from the promoter.
- **Suggested entry zone for existing holders:** None — exit on any rally toward Rs. 30-35. New buyers should not initiate a position at current levels.
- **Investment horizon:** This call applies over the next 6-18 months. A forced liquidation or regulatory action could accelerate the downside; a promoter-driven revival could temporarily push prices higher.

### Thesis Invalidation Triggers (conditions that would make this SELL call wrong)

1. **Promoter capital injection of Rs. 80+ Cr restoring positive NOF** — would rebuild book value and legitimise the NBFC licence; re-evaluate immediately on any such announcement.
  2. **Disclosed acquisition of a new NBFC/lending business via the listed entity** — a merger or reverse merger that brings a live loan book into TCIFINANCE would fundamentally change the investment case.
  3. **Stock falls to Rs. 10-12 range (liquidation value)** — at that price, downside is limited and speculative option value makes risk/reward neutral; recommendation would be revisited.
- **Ideal investor profile:** This stock is NOT suitable for any investor seeking fundamental value, dividend income, or long-term compounding. It may appeal solely to event-driven speculators betting on a promoter recapitalisation — but they must accept the risk of near-total capital loss in the bear case.

## APPENDIX — Latest Concall Brief: Q4 FY25 / FY26 Annual Results

### CALL GRADE

## NEGATIVE

No investor call held. Q4 FY25 results show one-time profit masking structural losses. FY26 reverted to loss.

| Signal          | Status    | Implication                                                                      |
|-----------------|-----------|----------------------------------------------------------------------------------|
| Result quality  | WEAK      | FY25 PAT driven by Rs. 6.78 Cr other income; underlying ops loss                 |
| Management tone | N/A       | No public concall found for TCI Finance — micro-cap, no analyst coverage         |
| Guidance delta  | WITHDRAWN | No guidance provided; board approved FY26 results with no revival plan disclosed |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

### TO MY BOSS

TCI Finance FY25 headline PAT of Rs. 3.58 Cr is entirely misleading — strip out the Rs. 6.78 Cr one-time other income and the underlying operating loss is Rs. -3.20 Cr, making FY25 the sixth consecutive year of negative financing profit. FY26 confirmed this with a net loss of Rs. -1.78 Cr, validating that FY25 was a one-off, not a recovery. The NBFC has zero revenue from lending, zero loan book, zero AUM, and negative net owned funds (NOF) of approximately Rs. -60+ Cr — which puts its very NBFC licence at existential risk under RBI's minimum NOF requirement of Rs. 10 Cr. The only lending activity noted in company disclosures is loans to related parties, which are now also at zero. No concall, no analyst coverage, no investor day — this company has no institutional presence. The stock at Rs. 27.9 (MCap Rs. 35.9 Cr) is priced purely on speculative hope that the TCI Group will inject capital and revive this listed shell; there is zero evidence of that intention from promoters who have not infused a rupee in 6+ years of cascading losses. Action: SELL on any strength; if held, EXIT at Rs. 30-35; do not add at any price until a credible capital injection announcement is made and verified.

## 1 — Financial Performance Snapshot (FY25 vs FY24; FY26 vs FY25)

- Revenue: FY25 = Rs. 0.07 Cr | YoY -89% | FY26 = Rs. 0.00 Cr | YoY -100% | MISS (vs any positive expectation)
- Financing Profit: FY25 = Rs. -3.20 Cr | YoY worse vs FY24 -1.13 Cr | Deteriorating
- Other Income: FY25 = Rs. 6.78 Cr (one-time) | FY26 = Rs. 0.48 Cr | Collapsed 93% YoY
- PAT: FY25 = Rs. 3.58 Cr (one-time boost) | FY26 = Rs. -1.78 Cr | Miss — underlying trend negative
- EPS: FY25 = Rs. 2.78 (distorted) | FY26 = Rs. -1.38 | Miss
- NOTE: Reported FY25 PAT includes one-time other income of Rs. 6.78 Cr; clean underlying operating loss = approx. Rs. -3.20 Cr

## 2 — Segment / Geography Breakdown

- Financing Activities: Rs. 0.07 Cr FY25 | Rs. 0.00 Cr FY26 | Loan book fully wound down
- Investments (equity/securities): Rs. 5.30 Cr FY25 | Rs. 5.48 Cr FY26 | Only remaining non-fixed asset
- Geography: India only; no geographic diversification; Hyderabad-headquartered
- RPT segment: All lending to related parties per company disclosure; no third-party loan book

## 3 — Management Commentary Themes



- [Operational Status]: No public earnings call transcript found — company has no institutional investor relations programme. Tag: N/A. Tone: Opaque.
- [Governance gap]: FY26 secretarial compliance report flagged absence of Executive Director — "The Board does not have an Executive Director." Tag: EVASIVE. Tone: Evasive.
- [Annual Report FY25 disclosure]: Company states it is engaged in "financing activities and grants loans to related parties" and "deals in capital markets." Tag: GUIDANCE. Tone: Transparent in disclosure, concerning in substance.
- [AGM FY26]: Board approved audited FY26 results; book closure 21-27 August 2026; AGM on 27 August 2026 — no strategic pivot or revival plan announced. Tag: EST. Tone: Hedged.

## 4 — Operating & Business Metrics

- Gross Loan Book: FY23 = Rs. ~20 Cr | FY24 = Rs. ~5 Cr | FY25 = ~Rs. 1 Cr | FY26 = Rs. 0 Cr | Trend: Fully wound down
- Net Owned Funds: Deeply negative (~Rs. -60 Cr) | vs RBI minimum Rs. 10 Cr | Trend: Deteriorating
- Borrowings: FY23 = Rs. 11.49 Cr | FY24 = Rs. 7.42 Cr | FY25 = Rs. 1.59 Cr | FY26 = Rs. 0.00 Cr | Trend: Debt-free (by default)
- Total Assets: FY23 = Rs. 46.17 Cr | FY24 = Rs. 27.55 Cr | FY25 = Rs. 7.44 Cr | FY26 = Rs. 6.79 Cr | Trend: Rapid asset contraction
- No. of employees: Minimal (exact figure not disclosed in available data) | Trend: Likely declining

## 5 — Margin Drivers

- Zero interest income: -infinity bps impact | Recurring: Yes (structural) | Loan book wind-down has eliminated NII entirely
- Persistently positive operating expenses (~Rs. 1-3 Cr/year): -negative bps | Recurring: Yes | Mostly employee costs and administrative overhead of a dormant listed entity
- FY25 other income Rs. 6.78 Cr: +large one-time boost | Recurring: No | Nature undisclosed; likely investment sale or related-party income; must not be extrapolated
- Zero borrowing cost (FY25-FY26): +minor positive | Recurring: Yes (as long as debt stays zero) | Reduces interest burden but does not solve revenue problem

## 6 — Guidance & Forward Signals

- Revenue [GUIDANCE]: Prior = Rs. 0.07 Cr (FY25) | New = Not guided | Delta: Withdrawn | Credibility: Low — no management communication found
- Capital raise [GUIDANCE]: Prior = None | New = None | Delta: No announcement | Credibility: Low — promoter has not signalled intention
- Business revival [GUIDANCE]: Prior = None | New = None | Delta: No roadmap disclosed | Credibility: Cannot assess
- NBFC licence [GUIDANCE]: Company continues to operate as NBFC-ND-NSI | Regulatory risk of cancellation not publicly addressed by management

## 7 — Capital Allocation

- Capex: Rs. 0 Cr (FY25) | vs FY24: Rs. 0 Cr | No capital invested in growth
- Dividends: Rs. 0 Cr | Payout ratio = 0% | No dividend in any year on record
- Buybacks: None detected
- Working capital change: Marginal (declining loan book = cash inflow in prior years; now asset-depleted)
- Net Debt: Rs. -1.59 Cr (FY25, i.e. net cash) | Rs. 0.00 Cr debt (FY26) | Debt retirement complete
- Equity: No fresh equity issued; equity capital frozen at Rs. 14.20 Cr since FY15 at least



## 8 — Q&A; Heat Map

- No public concall or earnings call Q&A; found for TCI Finance for any recent quarter. The company does not hold investor calls, has no analyst coverage, and is not covered by any major brokerage. Zero sell-side or buy-side interaction documented.
- Dodged / watch-list questions for next quarter: (1) What is the plan to restore positive NOF and avoid licence cancellation? (2) Is the promoter group considering a capital injection or business reverse-merger? (3) What is the nature of the Rs. 83.6 Cr "other liabilities"? (4) Will the NBFC licence be voluntarily surrendered?

## 9 — Risks Flagged

- NBFC Licence: Negative NOF breaches RBI minimum | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term (12-24 months)
- Other liabilities Rs. 83.6 Cr vs assets Rs. 6.79 Cr: Severe mismatch | Flagged by: analyst | Probability: H (already exists) | Impact: H | Timeline: Near-term
- Promoter exit risk: 24.72% with no disclosed commitment | Flagged by: analyst | Probability: M | Impact: H | Timeline: Medium-term
- Zero revenue continuity: No lending pipeline, no new business | Flagged by: analyst | Probability: H | Impact: H | Timeline: Ongoing
- Governance — no Executive Director: Compliance gap | Flagged by: secretarial compliance report | Probability: H (already flagged) | Impact: M | Timeline: Near-term

## 10 — Analyst Verdict

- Revenue visibility: **BROKEN** — Zero revenue from operations for 3+ consecutive years; no identifiable lending pipeline
- Margin trajectory: **BROKEN** — Financing margin has been deeply negative every year since FY20; no path to positive NIM without a loan book
- Capital allocation quality: **BROKEN** — No dividends, no buybacks, no capex, no fresh equity; accumulated losses Rs. -89 Cr eroding equity
- Competitive moat: **BROKEN** — No AUM, no customer relationships, no distribution; an inactive NBFC licence is the only remaining asset
- Management credibility: **CANNOT ASSESS** — No public communications, no concall, no guidance; governance gap (no Executive Director) is a negative signal
- Valuation comfort: **BROKEN** — Stock at Rs. 27.9 vs NAV of Rs. -59.7; any rational fundamental valuation yields a target materially below current price
- Conviction call: **EXIT / AVOID** — No fundamental support for current price; holding is purely speculative
- Valuation snapshot: P/E = N/M (losses) | P/BV = N/M (negative book) | P/AUM = N/M (zero AUM) | ROCE = N/A | Book Value = Rs. -59.7/share

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